

Bonnie--- what is the

Steve -HPL- Schneider

01/18/2000 07:25 AM

To: Bonnie White/Corp/Enron@ENRON

cc: Brenda McAfee/Corp/Enron@ENRON, Richard B Sanders/HOU/ECT@ECT

Subject: Mustang v. HPL

Protected - Attorney Client Privileged

Under section (d), I would consider elaborating to some extent. The fundamental issue relative to Mustang being able to take gas to which they might be entitled to under the Right of Way Agreement is that they would need to come to HPL with an indication of the amount of gas they would consume (minimum and maximum on a spontaneous basis) and the pressures required. A letter simply stating their desire to connect is insufficient. This would provide HPL with the appropriate information in order to determine the size of the meter and regulation required based on those parameters. Until such time, HPL could not make that determination. The issue of who pays for such equipment cost is silent in the agreement, but HPL would take the position that Mustang is only entitled to free gas, not free facilities, and only until the agreement is terminated. Mustang could take the approach that such facilities are unnecessary since the gas is free. This would certainly be contradictory to our policy of measuring all receipts and deliveries. Your call as to how we should respond here.

----- Forwarded by Steve -HPL- Schneider/HOU/ECT on
01/18/2000 07:11 AM -----

Brenda McAfee@ENRON

01/17/2000 12:29 PM

To: Steve -HPL- Schneider/HOU/ECT@ECT

cc: Bonnie White/Corp/Enron@ENRON, John Towles/OTS/Enron@ENRON, Nancy Hall/HOU/ECT@ECT

Subject: Mustang v. HPL

Bonnie White asked me to coordinate with you HPL's responses to Mustang's Request for Disclosure. Attached to this message is a draft of HPL's responses--please review the responses and make any corrections or additions as needed. Please note that we must forward these responses to Mustang on or before Thursday, January 20, 2000. Thanks for your assistance and please call me if you have any questions. Brenda McAfee x3-6536